UK Autumn Budget 2026 · Household examples

Funded by Nuffield Foundation

What the Budget means for example households

£135

Energy bills
over 2026-27 and 2027-28 for a band A to D home in England using 2,500 kWh a year

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£0

Pension Tax Allowance
income tax in 2027-28 for a pensioner with the standard Personal Allowance and income up to £13,036, all taxed at 20%

£34

Fuel duty
less over 2026-27 and 2027-28 for a household using 1,000 litres a year

PolicyEngine UK household calculations.
Fuel assumes retailers pass on the cut in full and a pre-Budget duty rate of 60.59p a litre from April 2027.

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UK Autumn Budget 2026 · Energy bills

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The £100 payment and zero VAT on electricity, for a household using 2,500 kWh a year

£135 — **England, bands A to D**
the £100 payment plus the VAT cut

£35 — **England E to H, Wales, Scotland**
the VAT cut alone

£10 — **Northern Ireland**
the VAT cut, which we expect there from April 2027

Change in net income, 2026-27 and 2027-28 combined. Typical consumption per Ofgem.
Wales and Scotland plan their own £100 payments, which we don't model.

policyengine.org/uk/research/budget-2026-energy-bills

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UK Autumn Budget 2026 · Pension Tax Allowance

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In 2027-28, a pensioner taxed at 20% with income up to the full new State Pension pays no income tax

£13,036 — the full new State Pension, £466 above the Personal Allowance

£94 — the full allowance, which falls by £1 for each £3 of income above £13,036

53.3% — effective marginal tax rate while it tapers, outside Scotland

2027-28, with the standard Personal Allowance. The allowance applies for three tax years, to 5 April 2030.

policyengine.org/uk/research/pension-tax-allowance

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UK Autumn Budget 2026 · Fuel duty

Funded by Nuffield Foundation

The 5p cut runs to 1 July 2027. Duty and VAT saved on each litre:

3.6p — **January and February 2027** a litre

6.0p — **March 2027** a litre

9.2p — **April to June 2027** a litre

Against the rates before the Budget, with VAT at 20% on the duty, if retailers pass the cut on in full.
April to June assumes a pre-Budget rate of 60.59p, which the government had not set.

policyengine.org/uk/research/fuel-duty-cut-extension

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UK Autumn Budget 2026 · Carer's Allowance

Funded by Nuffield Foundation

From 2030-31, a taper replaces the earnings cliff in England and Wales

£75

a week more for a carer earning £240 a week who does not claim Universal Credit

About half

of carers who get more allowance live in families on Universal Credit; almost all of them lose a little, as Universal Credit falls by the whole extra allowance and tax is due on it

£48m

net cost in 2031-32 after lower Universal Credit and higher income tax, assuming no behavioural responses

2031-32. The allowance falls by £1 for each £1 of net earnings above the weekly limit, £234 on the OBR's forecast. Estimates leave out the effect on the person they care for.

policyengine.org/uk/research/carers-allowance-taper

POLICY ENGINE

UK Autumn Budget 2026 · Property income

Funded by Nuffield Foundation

From April 2027, income tax rates on property income rise to 24%, 44% and 49% outside Scotland

+2 points on the basic, higher and additional rates for property income

+£200 **No mortgage** income tax in 2027-28

+£120 **£4,000 of fully usable mortgage interest** income tax in 2027-28, as finance-cost relief rises too

2027-28. Landlord in England with £10,000 of property profit.
Finance-cost relief follows the property basic rate.

policyengine.org/uk/research

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UK Autumn Budget 2026 · Trading allowance

Funded by Nuffield Foundation

From April 2027, the trading allowance triples to £3,000

£3,000 tax-free trading and miscellaneous income a year, up from £1,000

−£400 **Employee with side income**
income tax for someone paying 20% on side income

−£520 **Sole trader**
income tax and Class 4 National Insurance on £20,000 of receipts and £500 of expenses

2027-28. The allowance covers eligible trading and miscellaneous income.